

# Overview

Outcome mapping

Problem validation

## About

zepto is an Indian startup founded in 2021 specifically designed for quick-commerce, offering delivery of groceries and other essentials in under 10 minutes.

## Competitors



[Competitors analysis](#)

## Key Stats



\$1.4B Valuation



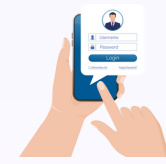
5000+ Products



1 Cr+ Downloads



\$1.2B GMV



~17M MAU



~\$6 AOV

## Business Model



Commission based

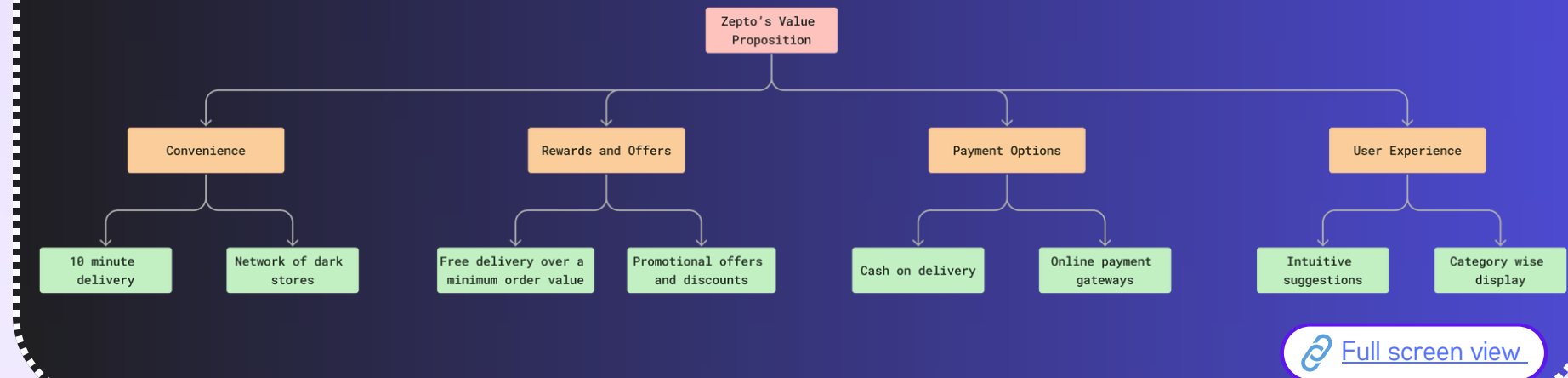


Subscription based



Advertisement based

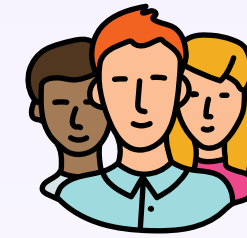
## Value proposition



## Actors



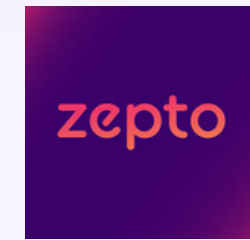
Dark Stores



Users



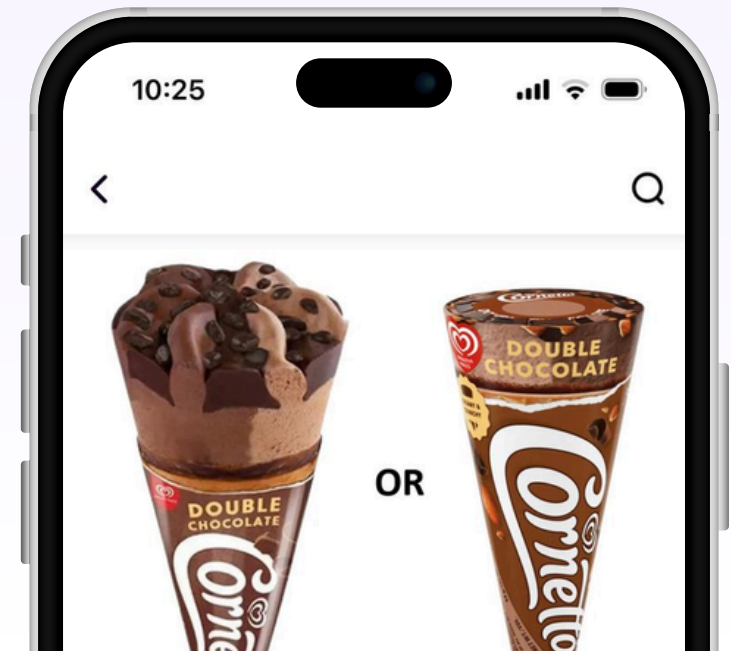
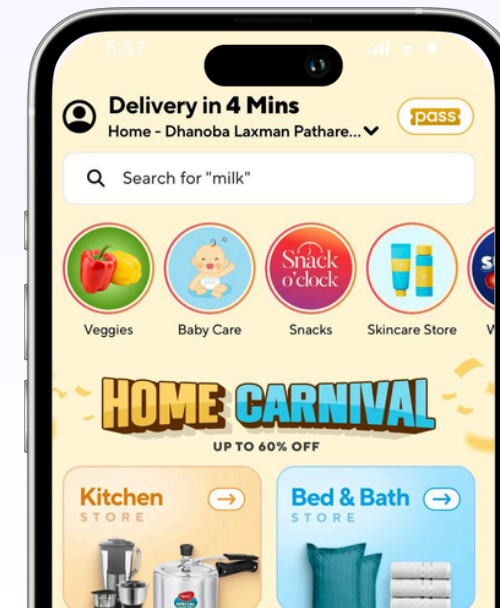
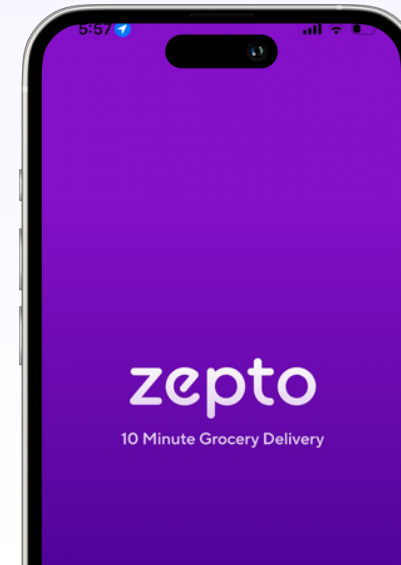
Sellers



Zepto App



Delivery Partners



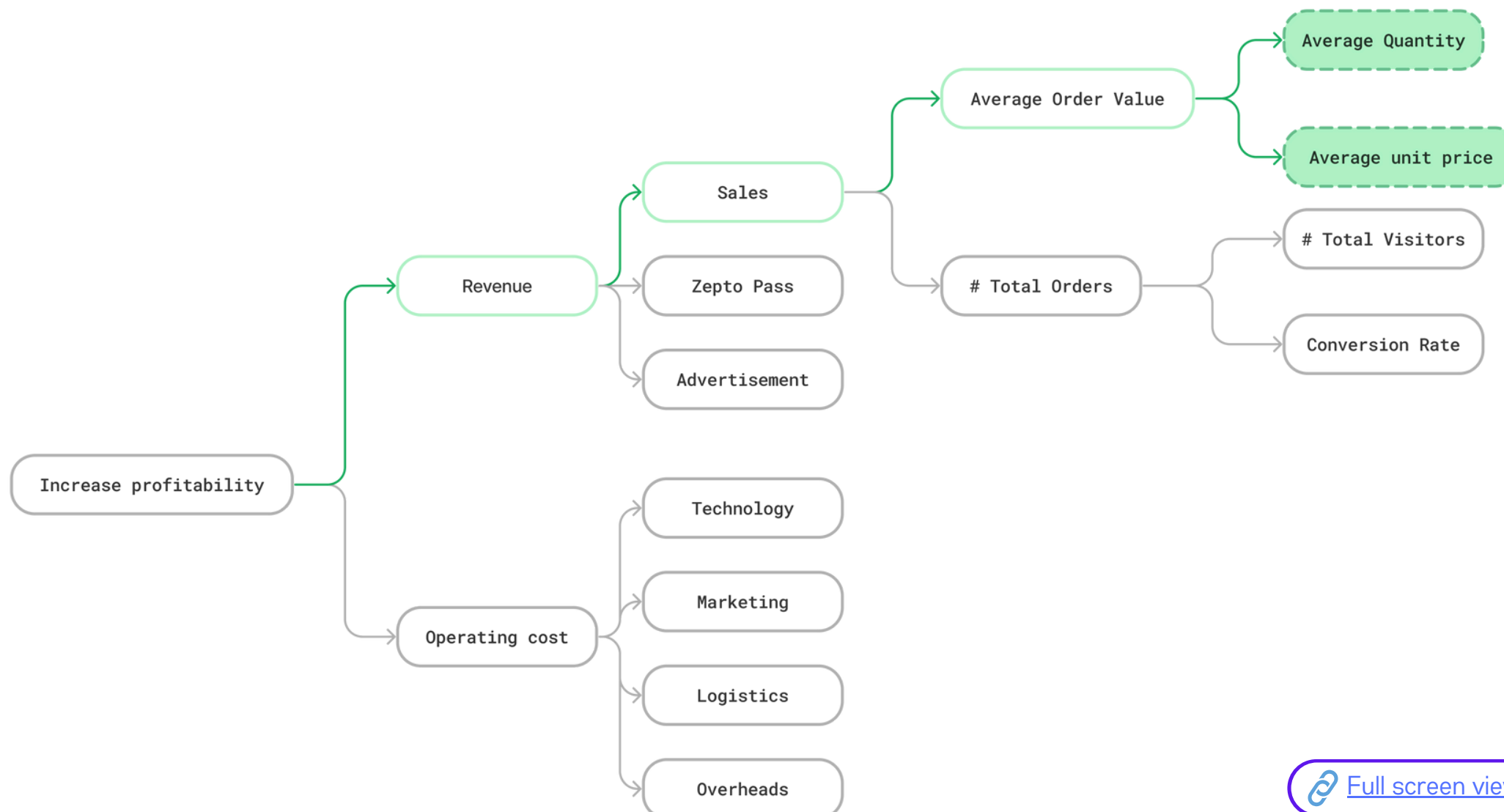
## Problem Statement

You are a product manager on the Growth team of the product you have chosen. The team has been given a mandate to focus on increasing the average order value in order to bring in better unit economics (delivering orders with a lower value leads to unprofitable unit economics).

## Why solve this problem now?

Zepto makes **profit** and recovers its **fixed cost** associated with an order only if the **AOV** is **high**. Moreover its essential to **find** out the **underlying reason** for low AOV now as **Q-commerce** in India is **growing** rapidly with its **TAM** being **\$45 billion** therefore zepto needs to grab on to this **oppurtunity** if it doesn't want to miss out.

## Mapping business outcomes to product outcomes

[Full screen view](#)

## Outcomes

**Business outcome:** Increasing profitability

**Product outcome:** Increasing Average Quantity,  
Increasing average unit price

## Target Segment

Urban population      Age: 18-35 years old  
Living in tier-1 cities.      High disposable income  
Value Convenience

## Hypothesis

Users use zepto for **forgotten** items or **immediate** needs, resulting in **smaller**, **impulsive** purchases.

## User Research

## Secondary Research

- Customer behaviour analysis has confirmed that q-commerce is seen as a way to top-up weekly shopping and fulfill an immediate need. [Source](#)
- There has been observed a significant increase in the Top-up and Unplanned purchases. [Source](#)
- There has been witnessed a significant augment in the Top-up and Unplanned purchases. [Source](#)

## Survey insights

[Survey responses](#)[Survey Questions](#)

- 59.4% users has a order value of ₹201-₹400 and 56.3% users order size is small (1-3 items), indicating low AOV.
- Factors influencing order size include minimum order value, discounts/offers, immediate needs.
- 65.6% users make unplanned purchases.

## User Interview insights

[User interview](#)

- Busy professionals in major Indian cities struggle with planned shopping due to time constraints and stress.
- Participants reported unplanned and impulsive shopping trips.
- All participants disliked making grocery shopping lists, finding them inconvenient and time-consuming

## User personas



Name: Akansha Sahu      Age: 24  
Occupation: General Manager      City: Pune  
She has recently started working and has shifted to Pune after her MBA.

**JTBD:** When I want to buy grocery items but can't remember everything I need, help me explore all the items conveniently, so I am reminded to purchase them.

**Goal:** Explore and buy grocery conveniently.

**Pain Point:** Struggles to make a list for grocery.



Name: Saurav Singh      Age: 35  
Occupation: Sr. Category Manager      City: Pune  
He is a busy person who works at senior management level and lives with his family.

**JTBD:** When I want to buy healthy items, but I have to invest a lot of time to locate them, help me compile a list of relevant healthy items, so I can easily discover and purchase them.

**Goal:** Discover healthy items conveniently.

**Pain Point:** Has problem discovering healthy items due to time constraints.

# Problem Framing

## What is the true problem?

Users primarily are not able to curate a laundry list of items that they want to buy and use Zepto as a platform for immediate, unplanned needs, resulting in smaller, more frequent orders.

[5 why analysis](#)

## Who is facing this problem?

Urban millennials and Gen Z (18-35 years old) living in tier-1 cities.



## What is the value generated?

### For Target Customers:

- Convenience
- Increased Value
- Better Experience

### For the Business:

- Improved Economics
- Higher Lifetime Value
- Competitive Edge:

## Why should we solve this ?

### Competitive Landscape:

Addressing AOV helps Zepto stand out and attract price-sensitive customers.

### Changing Customer Behavior:

Position Zepto to capture more spending as users seek comprehensive solutions.

### Long-term Sustainability:

Improving unit economics ensures Zepto's future growth and profitability.

## How is it a real problem?

### Survey data:

56.3% of respondents place orders with 1-3 items, and 62.5% are heavily influenced by minimum order values for free delivery and other incentives.

### Qualitative feedback:

Users express a desire to be "valued" by shopping platforms and are open to incentives for purchasing higher-priced items.

### Business impact:

Low AOV directly contributes to unprofitable unit economics, making each delivery less profitable and highlighting a crucial area for improvement.

## Shopping List

### Features:

Users can access shopping lists **curated** as per different user **needs**. These lists will have items from **different** categories **altogether** and include product **suggestions**.

### How will it work:

- Users will be able to see several shopping lists by selecting a **predefined** List.
- Users can manually **add** or **remove** items from shopping **lists** and **create** a list from **scratch** similar to a **Spotify playlist**.
- The system will **analyse** their purchase history and will **suggest** relevant items

### How will it increase AOV:

- Curated list and ability to create new lists will increase user **engagement** enabling the user to make **planned** purchases.
- Providing **tailored** shopping experiences will help the users to **discover** products easily and **add more** items to their cart.

## Diet Plan

### Features:

A feature that **calculates** macros based on user fitness **goals** and makes specialised diet plan, then suggests its **ingredients** that user can purchase.

### How will it work:

- Users will **register** by entering their personal **details** and fitness **goals**
- **Macros** for the user will be **generated** and they will get **diet plan** for the day.
- User can **select** a meal and all its **ingredients** and their **alternatives** will be **displayed** which the user can **add** to cart.

### How will it increase AOV:

- Users are will find it **convenient** to get healthy items at **one place, personalised** specially for them.
- This will **save** users time and will have a likelihood of **nudging** user to **add premium** items to their cart.

## Smart Reminder

### Features:

This feature will provide **automated reminders** for their daily, weekly or monthly needs and **auto-populate** their cart which the user can **add** or **remove**.

### How will it work:

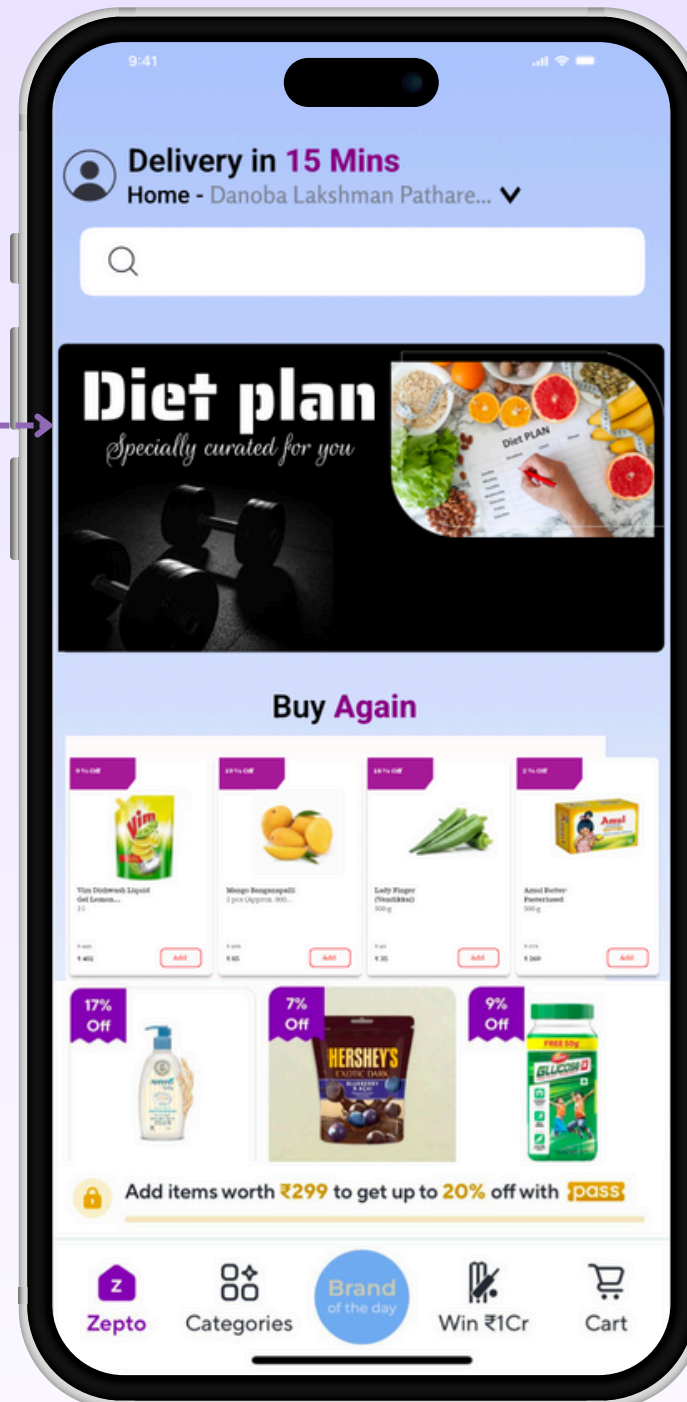
- Users will get reminder **suggestions** for a product based on their **purchase history**.
- Users can add the items to this feature and **select** weather they want to be reminded **daily, weekly or monthly**.
- The users cart will be auto-populated with the item that can be added or removed

### How will it increase AOV:

- Users will get a **streamlined** experience and can make **one-click** purchases.
- Auto-populated cart will **remind** the people of their daily need item and **average quantity** per user will **increase**.

 [Solutions Prioritization](#)

|                |                         |                  | Product Risks   |                |                  |                         |
|----------------|-------------------------|------------------|-----------------|----------------|------------------|-------------------------|
| Feature        | Impact Estimate         | Confidence Score | Value Risk      | Usability Risk | Feasibility Risk | Business Viability Risk |
| Diet Plan      | High Impact             | High Confidence  | Moderate to Low | Moderate       | Negligible       | Low                     |
| Shopping List  | Moderate to High Impact | High Confidence  | Low             | Low            | Negligible       | Low                     |
| Smart Reminder | Moderate Impact         | High Confidence  | Low             | Low            | Negligible       | Low                     |

[Figma Link](#)

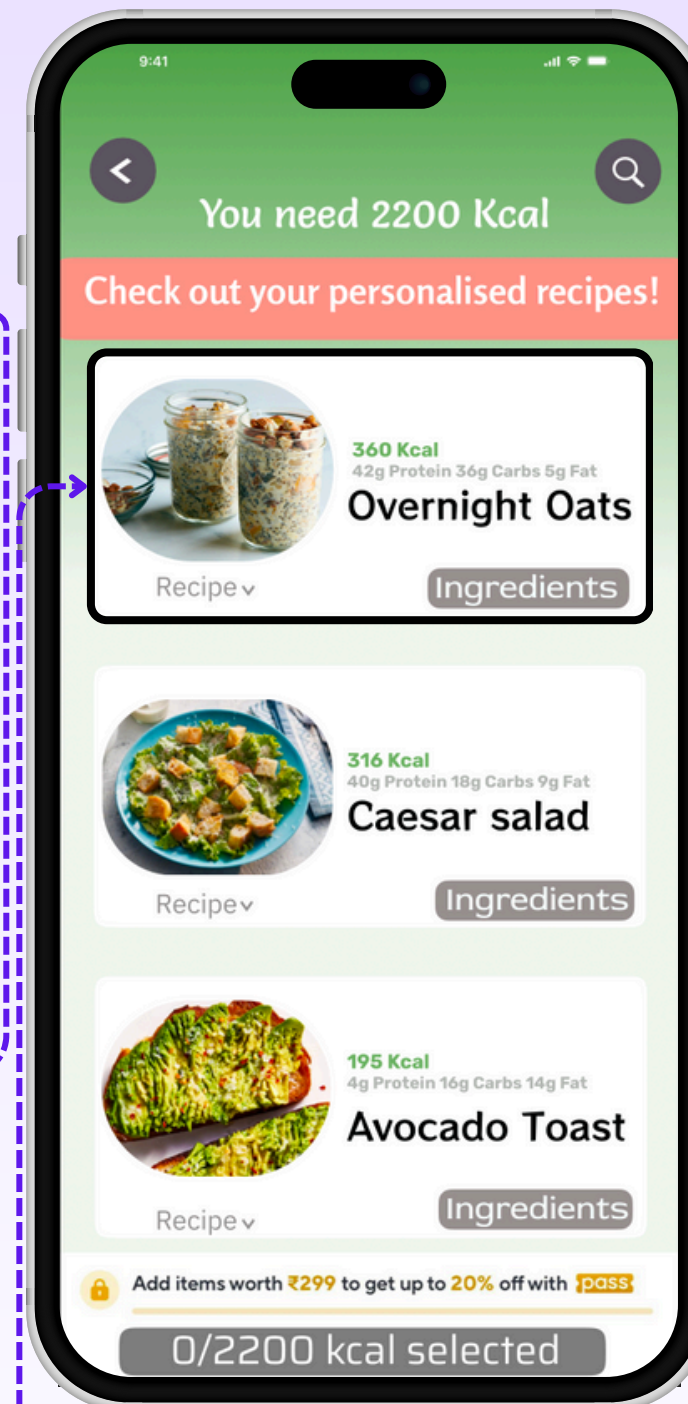
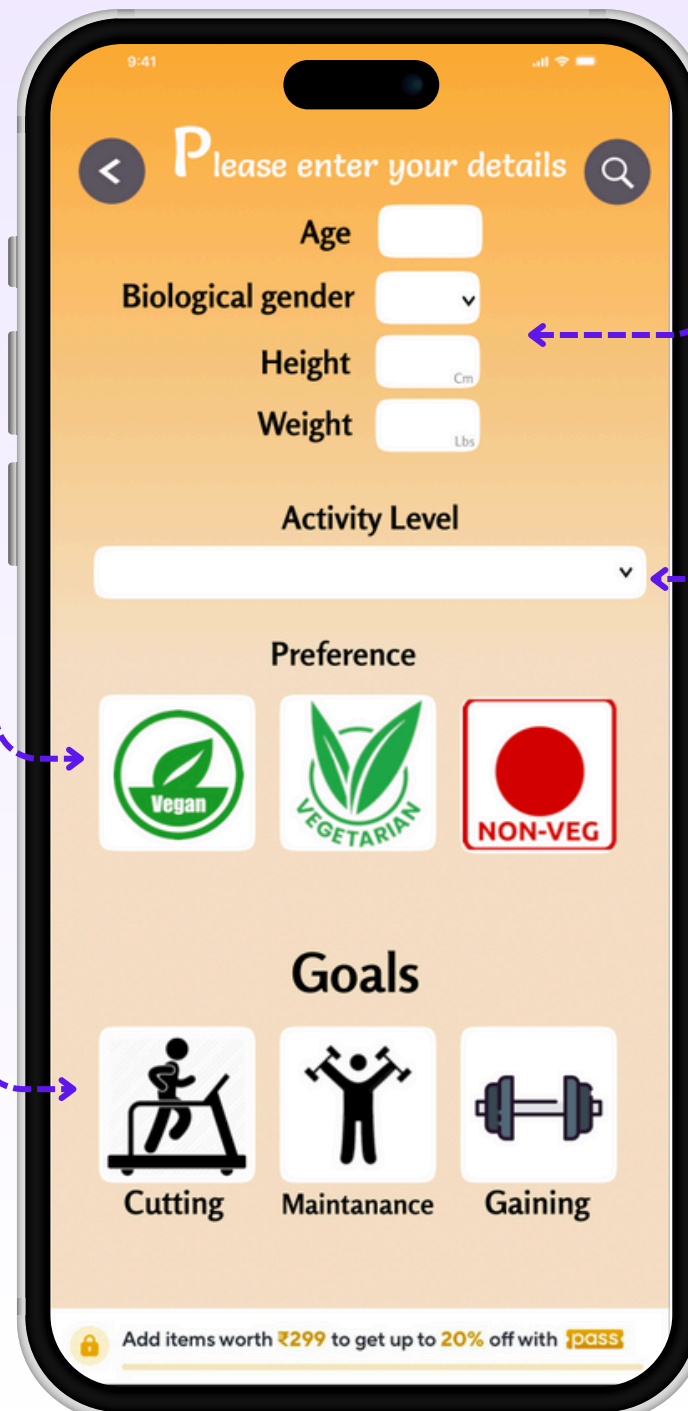
When users land on homepage, they see a banner of the Diet Plan feature which the users can click to get a personalised diet plan.

Users can select their fitness goals

Users can select their preference

Users can select their activity level

Users can add their personal details



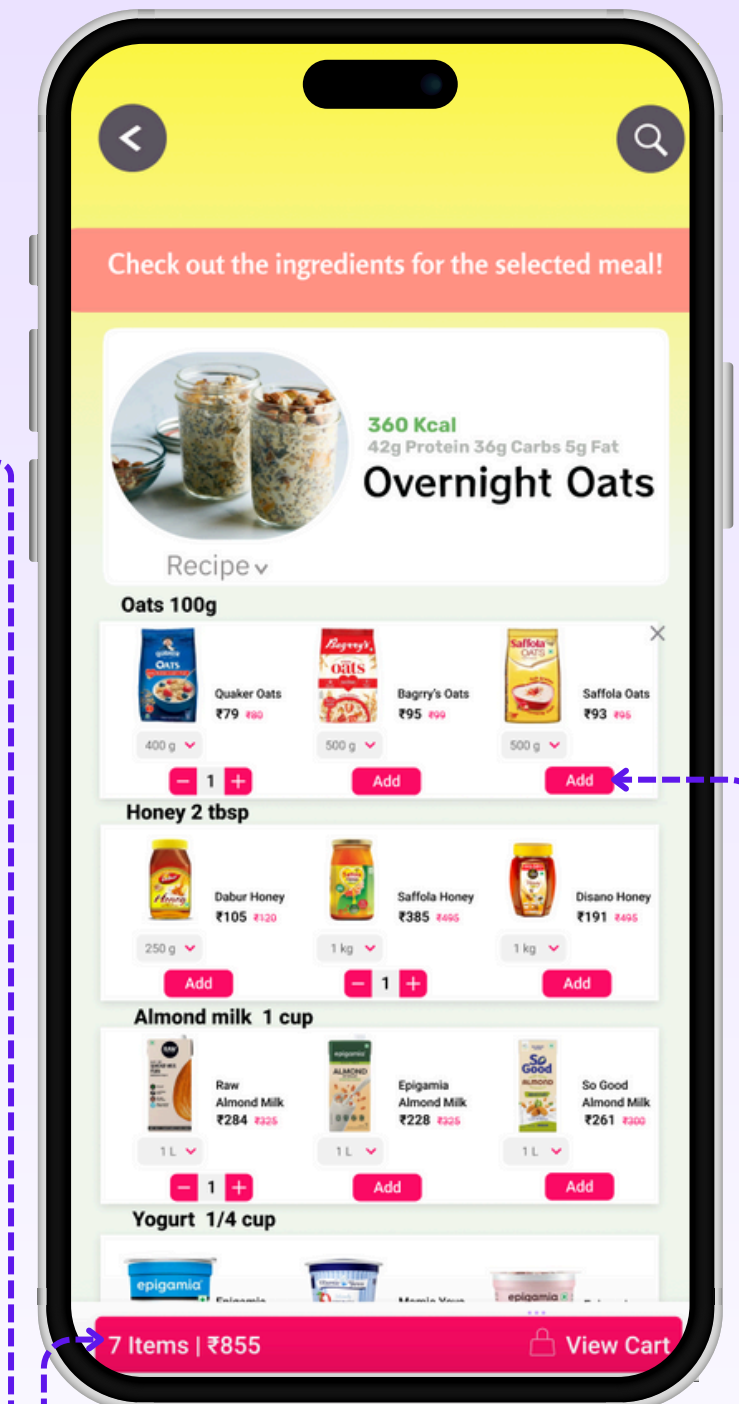
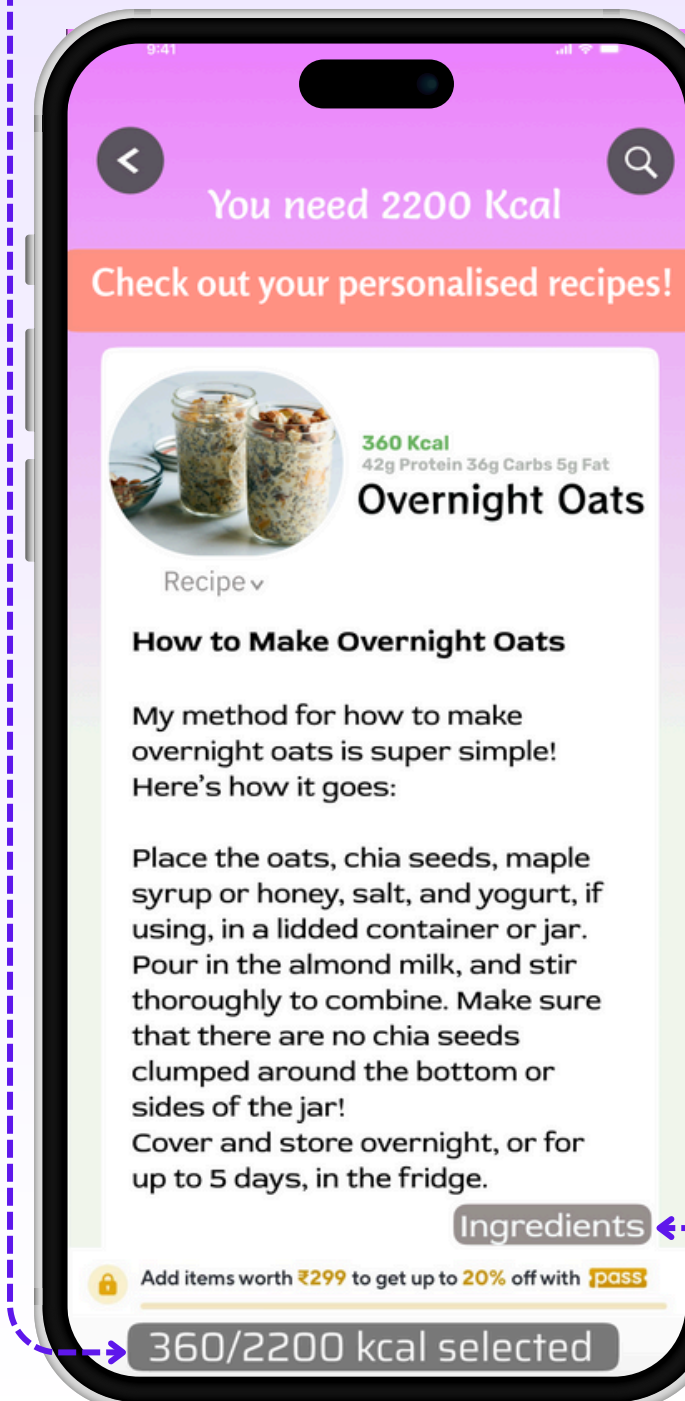
Once user select their goals they get a the amount of caories they need and a customized diet plan based on their macros

Users can select their preferred meal

Once the user selects their preferred meal from the diet plan, they get its recipe.

As the user adds the meal of their choice they see how much calorie is utilised in this meal out of their total daily calorie.

User can click here to view ingredients



Users get products from different brands that they can select.

Users can select the items they like

Once the user has selected their preferred item user can click on cart and checkout.

| Type         | Metrics                                                                                                    | Goals                                                                                                                                                                                      |
|--------------|------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Activation   | CTR on Diet Plan banner<br>CTR on Goal Selection<br>CTR on Meal Selection                                  | Tracks the <b>percentage</b> of users who <b>click</b> to start the <b>registration</b> process for the <b>Diet Plan feature</b> .                                                         |
| Adoption     | # of first-time users completing the diet plan registration<br># of users generating their first diet plan | <b>Counts new</b> users using the Diet Plan feature.<br>Measures the number of users who <b>complete</b> their first diet plan <b>after registration</b> .                                 |
| Engagement   | Avg. # of meals planned per active user/week<br>Avg. items from diet plan suggestions                      | Measures how actively users are <b>engaging</b> with the Diet Plan feature and <b>tracks</b> how many <b>items</b> are being added to the cart based on <b>diet plan recommendations</b> . |
| Retention    | Rate of Repeat Diet Plan Users over Time                                                                   | <b>Assesses</b> the percentage of users who use the Diet Plan feature <b>more than once</b> .                                                                                              |
| Satisfaction | Net Promoter Score (NPS)<br>CSAT (Customer Satisfaction Scores)                                            | To know if the present users would <b>recommend</b> this feature to their <b>friends &amp; family</b> and also used to <b>assess</b> user <b>contentment</b> with the feature.             |

# Pitfalls and Mitigation

| Pitfall                                | Mitigation                                                                                                                                |
|----------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------|
| Inaccurate or Generic Recommendations  | <ul style="list-style-type: none"><li>Personalization Algorithms</li><li>User Input</li><li>Continuous Improvement</li></ul>              |
| Data Privacy Concerns                  | <ul style="list-style-type: none"><li>Clear Privacy Policy</li><li>Data Security</li><li>User Control</li></ul>                           |
| High Development and Maintenance Costs | <ul style="list-style-type: none"><li>Iterative Development</li><li>Cost-Benefit Analysis</li><li>Efficient Resource Allocation</li></ul> |

## Future Scope

### Integration with Wearable Devices :

Integrate with popular health and **fitness trackers** (like Fitbit, Apple Watch, and Garmin) to tailor diet plans based on actual **physical activity**.

### Data Analytics for Insights:

**User Insights:** Provide users with detailed **insights** and **analytics** about their **dietary habits** and **progress** over time.

**Predictive Analysis:** Use **predictive analytics** to suggest **future diet plans** based on past behavior and trends.

### Collaboration with Healthcare Providers:

**Dietitian Integration:** Allow users to connect with **dietitians** and **healthcare providers** directly through the platform for personalized **consultations**.

**Medical Conditions:** Develop diet plans tailored to **specific medical conditions** and dietary restrictions.